The Paradox of Petrowealth: Resource Rents, Institutional Sequencing and Inequality in the Gulf

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INTRODUCTION

The richest countries are not always the most equal. The Gulf monarchies show this most clearly. Saudi Arabia, the United Arab Emirates, Kuwait and Qatar have earned hydrocarbon revenues on a scale with few precedents, yet the societies built on those revenues are marked by layered inequality: between ruling families and citizens, between citizens and the migrant workers who make up most of the resident population in several Gulf states, and between modern city skylines and the insecure lives of many of the people who built them. Standard measures such as the Gini coefficient understate this, because they often leave out migrant workers and measure income rather than wealth or power.

Oil alone cannot explain this outcome. Norway is a major oil producer and also one of the most equal societies in the world. My argument is that the difference lies in the institutions that existed when oil was discovered. Where accountable institutions came first, oil revenue was brought under democratic control. Where institutions were weak or new, the revenue was captured by existing elites and used to delay the pressures that might otherwise have forced reform. In short, oil did not create the Gulf’s hierarchies, but it helped keep them in place.

I. THREE SOURCES OF INEQUALITY

The Gini coefficient runs from zero, where everyone has the same income, to one, where a single person has all of it. The Nordic countries sit at around 0.27 to 0.30, while South Africa is about 0.54 (World Bank, 2026). The measure has well-known limits, especially for wealth and informal work, but it allows countries to be compared.

Three forces help explain why inequality persists. The first is the return on capital. Piketty (2014) argues that the return on capital (r) has usually been higher than the growth rate of the economy (g). When that holds, people who own capital receive a growing share of income, and inherited wealth matters more over time. The second is the bargaining position of labour. In theory, competitive markets pay workers the value of what they produce, but where employers have market power, unions are weak or work is informal, wages can stay below that level. The third, and the most important for this essay, is institutional. Acemoğlu and Robinson (2012) distinguish inclusive institutions, which spread economic and political power widely, from extractive ones, which concentrate it in a small elite. Extractive institutions tend to protect themselves, because those who benefit from them also have the means to block reform.

II. THE RENTIER STATE

The idea of the rentier state, introduced by Mahdavy (1970) and developed by Beblawi (1987), describes a state that earns most of its revenue from external rents, usually the export of natural resources, rather than from taxing its own citizens. The Gulf monarchies are the clearest examples.

This matters because taxation creates accountability. People who pay for the state have a claim to question how their money is spent, and in European history the demand to control taxation went hand in hand with the demand for representative government. A state that does not need to tax its citizens is freed from much of that pressure. In its place, the rentier-state literature describes a “rentier bargain”: the state shares resource wealth through subsidised energy, free services, public sector jobs and transfers, and in return citizens accept limited political participation. The arrangement is rational for both sides in the short term, which is one reason it is hard to change.

It also weakens the effect of crises. In economies that depend on taxation, falling living standards create pressure that governments cannot ignore indefinitely, and institutions are often reformed as a result. Resource rents give a government a buffer: a crisis can be managed by spending more rather than by changing how power is shared. Over time, this produces institutional stagnation that follows from the system's own incentives.

The contrast with European history is useful. There, industrialisation created a commercial middle class whose income depended on markets and secure property rights rather than on the state or the aristocracy, and this group pushed for stronger parliaments and courts. Economic change came first and institutional change followed. In the Gulf, the order was reversed. Oil revenue reached ruling families before an independent commercial class had formed, and it strengthened existing hierarchies rather than challenging them.

III. WHY NORWAY IS DIFFERENT

Norway is often cited as a counterexample to the "resource curse". On closer inspection it supports the argument about sequencing.

When commercially viable oil was discovered on the Norwegian continental shelf in 1969 (Norwegian Ministry of Energy and Norwegian Offshore Directorate, n.d.), Norway was already a mature democracy, with established parliamentary institutions, the rule of law and a long tradition of accountability to voters. Oil revenue entered a political system that could govern it. Instead of spending the revenue as it arrived, Norway set up the Government Petroleum Fund in 1990, renamed the Government Pension Fund Global in 2006, to invest surplus oil revenue abroad (Norges Bank Investment Management, n.d.). On 30 June 2026 the fund was worth 22,683 billion Norwegian kroner (Norges Bank Investment Management, 2026), or about 2.3 trillion dollars (Reuters, 2026). Divided by Norway's population of 5,636,904 at the end of the second quarter of 2026 (Statistics Norway, 2026), this is roughly 4 million kroner, or about 400,000 dollars, per person. The decision to save rather than consume was itself an institutional choice, and one that an accountable system was better placed to make, because it could resist short-term pressure to spend.

Saudi Arabia shows the opposite sequence. When oil began to transform its economy in the mid-twentieth century, the modern Saudi state had no parliamentary tradition, no independent judiciary of real scope and only a weak commercial middle class with its own political interests. Oil revenue went to the ruling family and its networks and became the foundation on which the state's institutions were built. As oil came to provide most government revenue, the incentive to develop a tax base, and the institutions of representation that usually come with one, weakened further. A middle class did emerge, but largely as a product of the state: educated in state institutions, employed in the public sector and dependent on the rentier bargain.

In Acemoğlu and Robinson's (2012) terms, the two countries met oil at different critical junctures. Norway entered the oil era with inclusive institutions already in place. In Saudi Arabia, the arrival of oil was itself the critical juncture, and the settlement it produced concentrated power. In both cases, oil strengthened the political order that held power when it arrived.

IV. PETROSTATES AFTER OIL

The Gulf states know that oil will not last and that the global energy transition shortens the time they have. Their response has been to look for new sources of income before the old one runs out. Saudi Arabia's Vision 2030, launched in 2016, aims to diversify the economy, build tourism and entertainment, reduce oil dependence and grow a private sector. On paper these are the reforms that resource-curse research recommends. In practice, the programme has so far changed the economy while leaving political institutions largely as they are. Large projects such as the planned city of NEOM can be read as a signal to investors and citizens that the system has a plan for the future. The Public Investment Fund's purchases in global sport, including Newcastle United and the LIV Golf series, appear to aim at international standing as much as at financial returns. Dubai's growth into a centre for tourism and finance is an earlier version of the same strategy, though it also depends on a steady inflow of foreign capital and visitors.

Whether these strategies can work without the institutional reforms they seem designed to avoid is the open question. Rent-seeking, once established, tends to continue, because moving to a productive economy would require sharing economic and political power more widely. Vision 2030 may make the rentier bargain more comfortable for citizens without changing who the state answers to.

CONCLUSION

The comparison between Norway and the Gulf suggests that the institutions a country has when the oil arrives matter more than how much oil it has. Resource rents can buy time for a political settlement, but they do not remove the pressures for change; they postpone them. For the Gulf monarchies, the energy transition will test whether diversification can succeed without a deeper change in the relationship between state and citizen.

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